INSULATION SUBCONTRACT AGREEMENT

This Subcontract Agreement ("Agreement") is entered into as of February 4, 2026, by and between:

CONTRACTOR: RAC Inc., 1267 N 1390 W, St. George, UT 84770

SUBCONTRACTOR: D2 Building Solutions, 5099 Wheeler Way, Hurricane, UT 84737

ARTICLE 1: PROJECT DESCRIPTION

1.1 Project: Rodriguez Residence, Oak Valley Estates Lot 5, Liberty Lane, Kanarraville, UT

1.2 Owner: ARJR Kanarraville Holdings LLC

ARTICLE 2: SCOPE OF WORK

2.1 Base Scope: Subcontractor shall furnish all labor, materials, equipment, and services necessary to complete the insulation work as detailed in Exhibit A (Schedule of Values) attached hereto and incorporated by reference, including but not limited to:

- Open cell foam insulation for ceiling areas (R-49)
- Mesh & blow fiberglass insulation for exterior walls (R-23)
- Open cell foam for rim joist (R-30)
- Foam sealing for windows, doors, penetrations, and cracks
- Mesh & blow fiberglass for basement-furred walls (R-15)
- Rockwool batt for fire blocking (R-15)
- Unfaced batts with FSK air barrier for knee walls (R-19)
- Garage insulation as specified

2.2 Contract Price: The total contract price for the base scope is Thirty-Six Thousand Seven Hundred-Seventy Eight Dollars ($36,788), which is all-inclusive of labor and materials.

ARTICLE 3: PAYMENT TERMS

3.1 Progress Payments: Contractor shall make monthly progress payments to Subcontractor based on work completed. No retainage shall be withheld from progress payments.

3.2 Payment Schedule: Payments are due net 30 days from invoice date. Per company policy, late payments will accrue interest charges of 1.5% per month until paid in full.

3.3 Invoice Requirements: Subcontractor shall submit invoices referencing the Schedule of Values (Exhibit A) with percentage of completion for each line item.

ARTICLE 4: TIME FOR PERFORMANCE

4.1 Commencement: Work shall commence upon written notice from Contractor.

4.2 Completion: Subcontractor shall complete work within the timeframe necessary for Contractor to meet its obligations to Owner. Subcontractor acknowledges it is subject to any liquidated damages provisions in the Owner contract resulting from Subcontractor-caused delays.

ARTICLE 5: RESPONSIBILITIES

5.1 General Obligations: Subcontractor assumes all responsibilities and obligations that Contractor has undertaken for Owner concerning the subcontract work.

5.2 Site Cleanup: Subcontractor shall maintain a clean worksite by removing all refuse and debris upon completing each unit of work. All excess materials, tools, and structures brought to the premises must be promptly removed. If Subcontractor fails to do so after reasonable notice, Contractor may undertake cleanup at Subcontractor's expense.

5.3 Quality Standards: All work shall be performed to the full satisfaction of both Contractor and Owner. If Contractor determines Subcontractor is not progressing satisfactorily, Contractor reserves the right, after reasonable notice, to assume control of the subcontract work.

5.4 Installation Standards: Spray foam insulation is applied based on nominal thickness representing average installed depth. Per industry standards, open cell acceptable variance is ±1/2 inch. Final performance is based on average application thickness; localized deviations within accepted range do not constitute defect.

ARTICLE 6: WARRANTY

6.1 Warranty Period: Subcontractor warrants all work and materials for one (1) year from date of substantial completion. This warranty does not cover circumstances uncontrollable by the installer or damage caused by acts of third parties.

ARTICLE 7: INSURANCE

7.1 Required Coverage: Subcontractor shall maintain general liability and workers' compensation insurance as required by law. Certificate of insurance shall be provided to Contractor prior to commencing work.

ARTICLE 8: CHANGES

8.1 Change Orders: Any alteration or deviation from the above specifications involving extra costs shall be executed upon written change orders and will become an extra charge over and above this Agreement.

ARTICLE 9: DISPUTE RESOLUTION

9.1 Governing Law: This Agreement shall be governed by the laws of the State of Utah.

CONTRACTOR:

RAC Inc.
By: _____ Date: _____
Name: Craig Engel
Title: Owner/Project Manager

SUBCONTRACTOR:

D2 Building Solutions
By: Nathan Johnson Nathan Johnson Date: 02/04/2026
Title: Sales

EXHIBIT A

SCHEDULE OF VALUES

Work Area / Description	R Value	Amount
Ceiling Area - Open Cell Foam	49	Included
Exterior Walls - R-23 Mesh & Blow Fiberglass	R-23	Included
Rim Joist - Open Cell Foam	30	Included
Foam - Windows/Doors/Penetrations & Cracks	-	Included
Basement-Furred Walls - R-15 Mesh & Blow Fiberglass	R-15	Included
Fire Blocking - R-15 Rockwool Batt	R-15	Included
Knee Walls - R-19 Unfaced Batts with FSK Air Barrier	R-19	Included
Garage Ceiling Area - Open Cell Foam	30	Included
Garage Exterior Walls - R-23 Mesh & Blow	R-23	Included

Fiberglass		
BASE ESTIMATE TOTAL:		**$36,778**

Optional Upgrades (Not Included in Base Price):

Between Floors - R-38 Net & Blow Cellulose	R-38	Add $5,674.00
Sound Walls - R-15 Mesh & Blow Fiberglass ($13/LF)	R-15	Add $13.00/LF
Sound Walls - R-23 Mesh & Blow Fiberglass ($18/LF)	R-23	Add $18.00/LF